DraftKings

Case Study

30017 CORPORATE FINANCE

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Executive Summary

In the fast-growing online gaming and online sports entertainment sector, DraftKings is facing an important financial decision: what rate should be used as the cost of capital? This benchmark, established by CEO Jason Robins and CFO Jason Park, reflects the company's risk, given its stage of development, unprofitable status, and regulatory risks. Analysts calculate the cost of capital to be between 7% and 10% based on various assumptions about beta, the risk-free rate and the market risk premium, so a specific approach is needed. The company uses the Capital Asset Pricing Model (CAPM) to calculate an asset beta based on similar firms, which it then adjusts for its particular risk. As DraftKings ventures into new markets and spends significantly on acquiring customers, this cost of capital provides a hurdle to guide investment decisions, ensuring that market expansion and marketing strategies yield a return in excess of the cost of capital and earn value.

Summary of Facts

DraftKings has experienced very rapid growth. In 2020 they generated revenue of $644 million, an increase of 50% from 2019. During the same year DraftKings went public through a reverse merger.

By March of 2021 DraftKings had launched a sportsbook operation in 12 U.S. states. They focused heavily on customer acquisition, being able to convert more than 60% of DFS users within 12-18 months after launching in a new state.

Analysts estimated DaftKings cost of capital to be in the range of 7-10%, mainly driven by the cost of equity, making the selection of comparable firms and the estimation of beta especially important. Although they reported a net loss of $855 million and adjusted EBITDA of -$396 million in 2020, they still held more than $1.8 billion in cash and cash equivalents, providing enough liquidity to continue funding its expansion. Management remained confident in the long term value of customer acquisition, using customers as a main benchmark for investment decisions.

Statement of the Problem

DraftKings' management needs to determine an appropriate cost of capital to guide its investment strategy, particularly in customer acquisition and geographic expansion. Estimating the appropriate cost of capital should be a main focus, followed by assessing the systematic risk for DraftKings' niche business model. The firm's management also needs to determine capital allocation under high growth and uncertain pay-off, while balancing the growth and profitability in the near future.

Analysis

DraftKings has a dynamic, highly fragmented regulatory environment where online sports betting is legalized differently from state to state in the U.S. This exposes the firm to high risk of regulation such as tax rates and licensing fees which vary widely across jurisdictions. These risks are evident in the financial profiles of comparable firms as shown in Exhibit 8, which have market leverage ratios ranging from around 16% to 71%, suggesting that firms in this sector have significant financial risk.

We use the Capital Asset Pricing Model (CAPM) to calculate DraftKings' cost of capital. Given that DraftKings currently has minimal debt financing, the cost of capital is equal to its cost of equity, which is the return that we can expect investors to require.

To estimate the beta, we examined a set of comparable firms in the U.S. casino and gaming industry. Based on five-year regressions of firm returns on the S&P 500, we calculate the equity betas, as detailed in Table 2. From the regressions we get that the industry is highly sensitive to the market. We see the large amplitude of the equity betas - ranging from 1.35 (Las Vegas Sands) to 3.14 (Caesars). Their respective betas give us the information that the companies in this industry are generally more risky than the market as a whole. Debt betas are set based on credit ratings, using the values in Exhibit 10. B-rated firms are given a debt beta of 0.41 and BB-rated firms 0.35, so that risk associated with leverage is accounted for.

Asset betas are estimated by unlevering the equity betas, as shown in Table 3. So asset betas between 1.10 and 1.69 are formed which suggests significant operating risk in the peer firms. From the Primary Peer Set of firms identified in Table 4 we get estimated average asset beta - 1.36, which is used as DraftKings' systematic risk. The risk-free rate is estimated using the U.S. Looking at Exhibit 5 now, the treasury yields are presented there. The yields on medium-term government bonds (e.g. 1-year yield is 1.30% and 5-year yield is 1.70%) justify our assumption of a risk-free rate of around 1.5% - consistent with long-term investment horizons.

Based on the estimates in Table 1, we assigned the market risk premium (MRP), showing that the data can range from 4.6% (CFO survey) to 6.4% (historical). This is why we choose the middle as a base case premium of 5%.

Based on these assumptions, the Weighted Average Cost of Capital (WACC) is:

$$WACC = r_f + \beta_a \times MRP$$

The findings presented in Table 6, suggest that the estimated cost of capital lies somewhere around 7.72% under the base case assumptions. This is the return that DraftKings must earn to generate value for its shareholders and should be used as a guide to future investments.

Given the firm's relatively high systematic risk and regulatory risk, DraftKings should be cautious in considering expansion opportunities and ensure that all investments made are expected to return more than this calculated cost of capital.

Recommendations

- Pursue conservative growth strategy - focus on states with less regulatory and tax uncertainty.
- Manage marketing expenses - target marketing programs with returns exceeding cost of capital (more than 8%).
- Regularly assess its capital structure.
- Adopt a rigorous investment policy that uses the discount rate for future projects which promotes efficient capital allocation and sustainable growth.

Exhibits and Tables

Exhibit 5 Treasury Yields

Maturity	31-Dec-20	Average Month End from 2016 - 2020
3 Months	0.10%	1.10%
1 Year	0.10%	1.30%
5 Years	0.40%	1.70%
10 Years	0.90%	2.00%
20 Years	1.50%	2.30%
30 Years	1.70%	2.50%

Exhibit 8 Comparable Firms, Leverage

	2016-2020 Average Quarter-End			Year-End 2020			
Firm	Book Leverage (%)	Market Leverage (%)	Credit Rating	Cash ($M)	Debt ($M)	Book Equity	Market Equity
Penn Entertainment	97.00%	71.00%	B	1,854	10,906	2,633	13,448
Caesars	74.00%	53.00%	B	1,758	26,813	5,016	15,452
Churchill Downs	66.00%	22.00%	BB	67	1,643	367	7,694
Boyd Gaming	77.00%	55.00%	B	519	4,716	1,124	4,800
MGM Resorts	66.00%	47.00%	BB	5,102	20,901	6,505	15,576
Wynn Resorts	91.00%	40.00%	BB	3,482	12,647	(352)	12,173
Las Vegas Sands	59.00%	16.00%	BBB	2,121	14,225	2,973	45,525
Monarch	13.00%	7.00%	A	28	181	368	1,128

Exhibit 9 Comparable Firms and the S&P 500, Stock Return Data, 2016-2020

Month	S&P 500	Las Vegas Sands	MGM Resorts	Caesars	Penn Entertainment	Wynn Resorts	Churchill Downs	Boyd Gaming	Monarch	Disney	Netflix	Live Nation
2016-01	-5.07%	2.87%	-11.62%	-6.18%	-11.80%	-2.87%	-2.37%	-10.37%	-8.89%	-8.81%	-19.71%	-7.61%
2016-02	-0.41%	7.05%	-5.73%	-3.00%	-2.05%	23.23%	-1.82%	-2.75%	-2.80%	-0.31%	1.71%	-3.13%
2016-03	6.60%	8.53%	13.28%	14.29%	20.59%	13.28%	9.04%	19.28%	-3.28%	3.97%	9.44%	1.46%
2016-04	0.27%	-12.64%	-0.65%	14.60%	-3.36%	-5.49%	-9.28%	-9.78%	-2.38%	3.98%	-11.93%	-3.72%
2016-05	1.53%	2.41%	7.28%	13.65%	-2.85%	9.49%	-6.46%	1.45%	11.16%	-3.91%	13.93%	12.43%
2016-06	0.09%	-4.39%	-0.98%	1.98%	-10.98%	-5.76%	0.68%	-2.70%	4.02%	-1.41%	-10.81%	-2.69%
2016-07	3.56%	16.46%	5.97%	-4.90%	7.87%	8.06%	3.77%	6.58%	6.19%	-1.19%	-0.25%	16.68%
2016-08	-0.12%	-0.87%	-0.38%	-3.39%	-5.59%	-6.30%	13.92%	-0.56%	1.97%	-1.55%	6.79%	-2.55%
2016-09	-0.12%	16.03%	8.96%	0.72%	-4.30%	9.07%	-2.03%	1.44%	5.80%	-1.69%	1.13%	2.84%
2016-10	-1.94%	0.59%	0.54%	-13.94%	-4.72%	-2.95%	-7.07%	-9.71%	-6.04%	-0.18%	26.71%	0.69%
2016-11	3.42%	8.28%	9.71%	13.64%	2.71%	8.40%	13.54%	5.49%	5.20%	6.94%	-6.30%	0.04%
2016-12	1.82%	-13.63%	0.42%	23.27%	3.84%	-15.18%	-1.73%	7.06%	3.82%	5.93%	5.81%	-3.90%
2017-01	1.79%	-1.55%	-0.10%	-8.55%	-0.07%	17.25%	-4.72%	0.74%	-7.84%	6.17%	13.86%	7.59%
2017-02	3.72%	0.70%	-6.72%	5.16%	5.01%	-4.71%	4.85%	-3.20%	7.24%	-0.51%	1.01%	-0.73%
2017-03	-0.04%	9.16%	4.64%	16.10%	27.37%	19.20%	5.69%	11.90%	15.93%	3.00%	4.00%	6.90%
2017-04	0.91%	3.38%	12.08%	1.06%	0.27%	7.33%	5.00%	3.04%	-0.24%	1.95%	2.97%	5.89%
2017-05	1.16%	0.24%	3.29%	8.50%	4.80%	5.03%	0.51%	12.04%	2.31%	-6.83%	7.14%	7.25%
2017-06	0.48%	9.28%	-1.01%	-3.81%	10.71%	4.21%	9.33%	-2.16%	0.33%	-1.57%	-8.38%	1.04%
2017-07	1.93%	-3.57%	5.24%	2.00%	-5.79%	-3.96%	2.05%	1.01%	9.39%	4.20%	21.58%	6.94%
2017-08	0.05%	0.97%	0.09%	12.75%	10.07%	7.85%	4.46%	5.51%	7.49%	-7.94%	-3.83%	7.22%
2017-09	1.93%	4.31%	-0.79%	11.52%	5.41%	7.14%	5.53%	-1.29%	11.13%	-2.60%	3.80%	8.98%
2017-10	2.22%	-1.22%	-3.80%	0.19%	11.54%	-0.96%	1.14%	12.21%	12.85%	-0.77%	8.32%	0.53%
2017-11	2.81%	9.32%	8.84%	19.07%	10.23%	7.52%	13.41%	9.10%	5.20%	7.17%	-4.51%	3.65%
2017-12	0.98%	1.34%	-1.82%	8.33%	8.94%	6.65%	-0.98%	10.07%	-4.50%	3.37%	2.34%	-6.19%
2018-01	5.62%	11.56%	9.16%	4.22%	1.85%	-1.78%	11.30%	12.81%	1.65%	1.08%	40.81%	5.85%
2018-02	-3.89%	-6.08%	-6.09%	-1.30%	-16.81%	1.46%	-0.31%	-10.36%	-7.31%	-5.07%	7.80%	-0.58%
2018-03	-2.69%	-0.22%	2.66%	-3.23%	-1.32%	8.87%	-5.48%	-9.81%	0.14%	-2.64%	1.36%	-5.94%
2018-04	0.27%	1.99%	-10.28%	22.73%	15.42%	2.10%	12.52%	4.24%	0.87%	-0.11%	5.79%	-6.34%
2018-05	2.16%	9.93%	0.10%	11.60%	12.44%	5.68%	9.03%	13.87%	4.41%	-0.86%	12.53%	8.01%
2018-06	0.48%	-4.34%	-7.31%	-13.50%	-1.44%	-14.63%	-0.97%	-8.03%	-1.10%	5.37%	11.33%	13.93%
2018-07	3.60%	-5.84%	8.06%	9.59%	-4.58%	-0.33%	-3.96%	7.76%	8.22%	9.15%	-13.79%	1.46%
2018-08	3.03%	-9.01%	-7.59%	12.14%	7.52%	-10.81%	-1.17%	-2.49%	-1.30%	-1.36%	8.96%	0.81%
2018-09	0.43%	-8.16%	-3.31%	1.14%	-4.47%	-14.35%	-1.73%	-6.89%	-3.40%	4.39%	1.75%	9.64%
2018-10	-6.94%	-13.99%	-4.41%	-24.90%	-26.25%	-20.82%	-10.12%	-21.54%	-14.70%	-1.80%	-19.34%	-3.98%
2018-11	1.79%	7.66%	1.05%	20.49%	-8.94%	9.49%	11.28%	-6.55%	3.17%	0.57%	-5.19%	6.46%
2018-12	-9.18%	-3.90%	-9.57%	-17.67%	-14.83%	-9.59%	-11.59%	-16.04%	-4.85%	-4.29%	-6.46%	-11.55%
2019-01	7.87%	12.12%	21.35%	28.75%	28.73%	24.37%	13.12%	31.47%	13.37%	1.71%	26.84%	8.65%
2019-02	2.97%	5.26%	-9.14%	3.41%	2.52%	3.46%	1.98%	8.93%	1.41%	1.18%	5.48%	5.70%
2019-03	1.79%	0.49%	-3.59%	-3.15%	-19.11%	-5.71%	-3.77%	-7.86%	0.16%	-1.60%	-0.43%	12.34%
2019-04	3.93%	9.99%	3.78%	5.74%	7.81%	21.06%	11.73%	5.19%	-2.80%	23.36%	3.92%	2.83%
2019-05	-6.58%	-17.97%	-6.80%	-0.41%	-13.01%	-25.01%	-2.25%	-16.89%	0.80%	-3.80%	-7.36%	-6.92%
2019-06	6.89%	8.84%	15.63%	-6.30%	2.18%	15.52%	16.73%	12.92%	-0.67%	5.76%	7.00%	8.93%
2019-07	1.31%	2.28%	5.08%	-2.06%	1.35%	4.90%	3.98%	-1.87%	10.13%	3.04%	-12.07%	8.77%
2019-08	-1.81%	-8.22%	-6.53%	-14.65%	-1.79%	-14.55%	3.02%	-9.25%	-5.71%	-4.02%	-9.05%	-3.54%
2019-09	1.72%	5.52%	-0.75%	3.53%	-2.84%	-1.30%	0.16%	-0.08%	-6.06%	-5.06%	-8.90%	-4.96%
2019-10	2.04%	7.06%	2.81%	12.29%	14.44%	11.61%	5.29%	13.78%	3.60%	-0.31%	7.39%	6.27%
2019-11	3.40%	1.47%	12.11%	19.52%	8.05%	0.42%	0.02%	7.93%	5.58%	16.87%	9.48%	-0.98%
2019-12	2.86%	11.25%	4.54%	11.46%	10.99%	14.91%	5.98%	2.04%	6.47%	-4.00%	2.83%	2.38%
2020-01	-0.16%	-5.40%	-6.64%	0.23%	16.71%	-9.15%	5.23%	-0.30%	10.57%	-4.37%	6.65%	-4.63%
2020-02	-8.41%	-10.72%	-20.93%	-16.06%	-0.87%	-13.62%	-12.98%	-10.52%	-11.92%	-14.94%	6.94%	-10.84%
2020-03	-12.51%	-25.81%	-51.34%	-71.30%	-67.22%	-44.26%	-18.06%	-46.01%	-40.63%	-17.89%	1.75%	-25.19%
2020-04	12.68%	13.07%	42.63%	48.89%	40.87%	42.10%	-2.65%	15.74%	18.77%	11.98%	11.81%	-1.30%
2020-05	4.53%	-0.17%	2.08%	65.39%	84.12%	-2.63%	32.38%	28.10%	20.40%	8.46%	-0.03%	9.56%
2020-06	1.84%	-5.01%	-2.20%	12.97%	-8.92%	-10.55%	0.36%	-2.25%	-15.10%	-4.94%	8.41%	-9.83%
2020-07	5.51%	-4.17%	-4.23%	-22.49%	10.84%	-2.77%	4.03%	13.25%	6.19%	4.87%	7.44%	5.59%
2020-08	7.01%	16.20%	39.84%	47.50%	50.98%	20.74%	26.16%	13.14%	27.13%	12.77%	8.32%	21.34%
2020-09	-3.92%	-7.99%	-3.32%	22.40%	42.27%	-17.88%	-6.26%	14.60%	-3.06%	-5.91%	-5.58%	-5.14%
2020-10	-2.77%	3.00%	-5.43%	-20.05%	-25.75%	0.86%	-8.95%	3.36%	-2.71%	-2.28%	-4.86%	-9.43%
2020-11	10.75%	15.92%	37.34%	51.99%	29.88%	38.75%	20.63%	21.34%	27.26%	22.07%	3.14%	34.53%
2020-12	3.71%	6.98%	11.55%	9.03%	23.39%	12.27%	8.81%	11.51%	10.87%	22.41%	10.20%	11.93%

Month	Warner Brothers	Madison Square Garden	World Wrestling	Activision Blizzard	Electronic Arts	Take-Two Interactive	Meta Platforms	Twitter	Match Group
2016-01	3.41%	-4.77%	0.34%	-10.05%	-6.08%	-0.40%	7.21%	-27.40%	-7.38%
2016-02	-9.39%	0.60%	6.59%	-9.05%	-0.47%	3.72%	-4.71%	7.86%	-13.23%
2016-03	14.52%	7.33%	6.34%	7.67%	2.91%	4.87%	6.72%	-8.86%	1.56%
2016-04	-4.81%	-5.64%	-6.78%	1.86%	-6.44%	-9.26%	3.05%	-11.66%	3.07%
2016-05	1.98%	6.72%	5.59%	13.90%	24.09%	13.84%	1.05%	4.10%	22.81%
2016-06	-9.41%	2.97%	5.46%	0.94%	-1.29%	-2.54%	-3.81%	11.10%	7.68%
2016-07	-0.55%	5.96%	7.26%	1.34%	0.74%	5.96%	8.45%	-1.60%	4.46%
2016-08	1.87%	-1.17%	5.16%	3.01%	6.43%	8.19%	1.76%	15.44%	2.79%
2016-09	5.53%	-6.22%	3.13%	7.08%	5.13%	3.70%	1.70%	19.99%	9.88%
2016-10	-3.01%	-2.31%	-17.00%	-2.55%	-8.06%	-1.53%	2.12%	-22.13%	1.52%
2016-11	3.75%	4.92%	6.22%	-15.20%	0.92%	10.90%	-9.60%	3.01%	-0.44%
2016-12	1.18%	-1.23%	-1.38%	-1.37%	-0.81%	0.12%	-2.85%	-11.84%	-4.89%
2017-01	3.43%	2.43%	6.41%	11.35%	5.93%	8.85%	13.27%	8.10%	1.58%
2017-02	1.45%	2.10%	7.15%	12.24%	3.88%	8.21%	4.01%	-10.50%	-6.97%
2017-03	1.15%	11.35%	6.48%	11.15%	3.49%	4.02%	4.80%	-5.20%	1.05%
2017-04	-1.07%	1.03%	-3.56%	4.79%	5.92%	8.04%	5.77%	10.23%	14.08%
2017-05	-7.92%	-3.15%	-4.76%	12.11%	19.52%	22.10%	0.81%	11.17%	4.96%
2017-06	-2.53%	0.76%	0.39%	-1.72%	-8.71%	-4.38%	-0.32%	-2.46%	-10.76%
2017-07	-4.76%	11.59%	3.88%	7.31%	10.42%	8.31%	12.10%	-9.98%	5.01%
2017-08	-9.72%	-3.28%	3.02%	6.12%	4.08%	23.04%	1.61%	5.10%	19.18%
2017-09	-4.14%	0.75%	8.58%	-1.60%	-2.83%	4.54%	-0.64%	-0.24%	6.62%
2017-10	-11.32%	4.01%	12.65%	1.52%	1.30%	8.24%	5.38%	22.23%	15.31%
2017-11	0.74%	-2.71%	7.39%	-4.72%	-11.08%	0.81%	-1.60%	-0.19%	9.95%
2017-12	17.67%	-2.68%	7.76%	1.47%	-1.21%	-1.59%	-0.41%	16.67%	6.50%
2018-01	12.02%	2.37%	15.80%	17.07%	20.85%	15.39%	5.91%	7.50%	11.59%
2018-02	-2.99%	13.14%	7.92%	-1.35%	-2.57%	-11.86%	-4.59%	23.44%	14.63%
2018-03	-11.88%	0.66%	-6.29%	-7.29%	-1.99%	-12.59%	-10.39%	-8.95%	10.96%
2018-04	10.36%	-1.13%	10.50%	-1.65%	-2.89%	1.97%	7.64%	4.48%	6.03%
2018-05	-10.82%	7.83%	45.49%	6.87%	10.98%	12.41%	11.50%	14.48%	-12.67%
2018-06	30.39%	18.38%	28.00%	7.63%	7.72%	5.80%	1.32%	25.85%	-5.86%
2018-07	-3.35%	0.64%	8.64%	-3.80%	-8.70%	-4.51%	-11.19%	-27.02%	-6.76%
2018-08	4.70%	-3.28%	10.49%	-1.80%	-11.91%	18.17%	1.83%	10.39%	38.57%
2018-09	14.98%	4.43%	10.80%	15.38%	8.24%	3.32%	-6.41%	-19.10%	15.70%
2018-10	1.22%	-12.27%	-24.96%	-17.00%	-24.49%	-8.81%	-7.70%	22.10%	-10.69%
2018-11	-5.16%	-2.39%	1.89%	-27.76%	-7.80%	-14.90%	-7.37%	-9.50%	-22.14%
2018-12	-19.47%	-0.86%	1.19%	-6.64%	-6.14%	-6.14%	-6.77%	-6.62%	11.17%
2019-01	14.71%	3.81%	10.20%	1.44%	16.89%	2.54%	27.16%	16.77%	25.06%
2019-02	1.83%	3.68%	1.65%	-10.80%	3.84%	-17.33%	-3.14%	-8.28%	3.53%
2019-03	-6.51%	1.73%	3.82%	8.92%	6.11%	8.15%	3.25%	6.82%	2.22%
2019-04	14.36%	6.59%	-3.38%	5.89%	-6.87%	2.81%	16.02%	21.38%	6.69%
2019-05	-11.78%	-5.31%	-13.25%	-10.04%	-1.86%	11.89%	-6.24%	-6.69%	13.66%
2019-06	12.62%	-5.37%	-0.96%	8.83%	8.79%	4.97%	8.75%	-4.23%	-2.01%
2019-07	-1.27%	3.81%	0.79%	3.26%	-8.85%	7.92%	0.64%	21.23%	11.92%
2019-08	-8.94%	-13.00%	-1.85%	3.82%	1.28%	7.71%	-4.41%	0.80%	12.63%
2019-09	-3.51%	4.43%	-0.22%	4.58%	4.42%	-5.02%	-4.09%	-3.40%	-15.75%
2019-10	1.22%	1.29%	-21.24%	5.88%	-1.45%	-3.98%	7.62%	-27.26%	2.17%
2019-11	22.20%	5.57%	10.87%	-2.14%	4.78%	0.83%	5.21%	3.14%	-3.44%
2019-12	-0.81%	4.40%	4.79%	8.37%	6.44%	0.89%	1.79%	3.69%	16.50%
2020-01	-10.63%	0.68%	-24.85%	-1.58%	0.38%	1.81%	-1.63%	1.34%	-4.74%
2020-02	-12.17%	-9.58%	-4.32%	-0.60%	-6.07%	-13.77%	-4.66%	2.22%	-16.90%
2020-03	-24.36%	-21.06%	-27.20%	2.32%	-1.18%	10.36%	-13.34%	-28.02%	1.60%
2020-04	15.33%	10.06%	31.06%	7.83%	14.07%	2.06%	22.73%	16.78%	16.54%
2020-05	-2.99%	-0.40%	4.05%	12.95%	7.54%	12.49%	9.96%	7.98%	15.70%
2020-06	-2.99%	-13.91%	-6.84%	5.49%	7.46%	2.50%	0.88%	-3.81%	20.23%
2020-07	0.00%	4.63%	7.27%	8.87%	7.25%	17.52%	11.71%	22.19%	-0.83%
2020-08	4.57%	6.71%	-6.45%	1.08%	-1.52%	4.37%	15.58%	11.48%	8.74%
2020-09	-1.34%	-6.24%	-7.90%	-3.08%	-6.50%	-3.49%	-10.66%	9.66%	-0.92%
2020-10	-7.03%	-5.87%	-10.16%	-6.45%	-8.11%	-6.23%	0.46%	-7.06%	5.54%
2020-11	32.95%	19.60%	18.37%	4.95%	6.61%	16.52%	5.27%	12.45%	19.21%
2020-12	11.82%	8.68%	11.92%	16.82%	12.54%	15.11%	-1.38%	16.43%	8.61%

Exhibit 10 Debt Betas by Credit Rating Index, 2016-2020

Rating	Beta [1]
AAA	0.04
AA	0.08
A	0.13
BBB	0.27
BB	0.35
B	0.41
CCC	0.62

Table 1 Market Risk Premium (according to case study page 4)

Source/Methodology	MRP(%)
2021 CFO Survey	4.60%
2021 Surveys	5.00%
2021 Investor-Professional surveys	5.50%
Historical Data (1872-2021)	6.40%

Table 2 Equity Betas: five years regression vs S&P 500 (from Returns)

Method: βe = SLOPE(firm returns, S&P 500 returns) over Jan 2016 – Dec 2020

Firm	Equity Beta (βe)	R^2	StDev of returns	Intercept (α)	GICS Group
Penn Entertainment	2.79	0.38	19.94%	1.61%	Casinos & Gaming
Caesars	3.14	0.47	20.11%	2.01%	Casinos & Gaming
Churchill Downs	1.36	0.43	9.20%	1.32%	Casinos & Gaming
Boyd Gaming	2.24	0.63	12.42%	-0.34%	Casinos & Gaming
MGM Resorts	2.43	0.63	13.40%	-1.12%	Casinos & Gaming
Wynn Resorts	2.38	0.52	14.56%	-0.60%	Casinos & Gaming
Las Vegas Sands	1.35	0.44	8.90%	-0.22%	Casinos & Gaming
Monarch	1.66	0.50	10.38%	0.38%	Casinos & Gaming

Table 3 Asset Betas: Unlevered by βa = (1 − Leverage)·βe + Leverage·βd

Firm	βe	Market Leverage	Rating	βd	βa	Group
Penn Entertainment	2.79	71.00%	B	0.41	1.10	Casinos & Gaming
Caesars	3.14	53.00%	B	0.41	1.69	Casinos & Gaming
Churchill Downs	1.36	22.00%	BB	0.35	1.14	Casinos & Gaming
Boyd Gaming	2.24	55.00%	B	0.41	1.23	Casinos & Gaming
MGM Resorts	2.43	47.00%	BB	0.35	1.45	Casinos & Gaming
Wynn Resorts	2.38	40.00%	BB	0.35	1.57	Casinos & Gaming
Las Vegas Sands	1.35	16.00%	BBB	0.27	1.18	Casinos & Gaming
Monarch	1.66	7.00%	A	0.13	1.55	Casinos & Gaming

Table 4 Primary Peer Set (Top 6 US Casino Firms)

Firms included:	Penn Entertainment, Ceasars, Boyd Gaming, MGM Resorts, Wynn Resorts, Churchill Downs
Average βa for the firms included	1.36

Table 5	Other Peer Sets
Competition to DraftKings (Wynn Resorts, Ceasers, Penn Entertainment, MGM Resorts)	1.45
Whole industry (all casinos)	1.36

Table 6 WACC Sensitivity: Peer Set × (rf, MRP)

Method: WACC = rf + βa × MRP

Peer Set	Asset Beta (βa)	rf=0.9%MRP=5.0%	rf=2.0%MRP=5.0%	rf=2.0%MRP=6.4%
Primary: 6 US Casino Ops	1.36	7.72%	8.82%	10.73%
4 Direct OSB Competitors	1.45	8.16%	9.26%	11.30%
All 8 Casinos & Gaming	1.36	7.72%	8.82%	10.73%